COPILOT STUDIO · COMPLETE BUILD GUIDE

Finance & Budget Copilot

Every step, start to finish, including the current (2026) way to build the tool in Step 6 — an agent flow writing to a new SharePoint list and notifying FP&A in Teams.

i What You're Building

An agent that answers budget/variance questions and captures structured variance explanations, grounded in one data file, acting through one governed tool.

AGENT NAME	Finance & Budget Copilot
ORCHESTRATION	Generative (AI-led)
KNOWLEDGE	Finance_Budget_Data.xlsx
CUSTOM TOPIC	Submit Variance Explanation
TOOL	Submit Variance Note (agent flow → SharePoint + Teams)

📁 Files & Where They Go

FILE / ITEM	GOES TO	USED IN
`Finance_Budget_Data.xlsx`	Copilot Studio → **Knowledge** tab → Add knowledge → File	Step 3
`VarianceNotes_SharePointList_Template.xlsx`	SharePoint site → New → List → From Excel	Step 6
`VarianceNoteSubmitted_AdaptiveCard.json`	Paste into the flow's Adaptive Card field	Step 6

> **Before you start —** confirm Environment Maker permission on the Power Platform environment, and Contribute access on the SharePoint site that will host the Variance Notes list.

Set Up the Agent

Steps 1–3 — create the agent shell, pick how it reasons, and ground it in data.

1 Create Your Copilot Studio Agent

Open Copilot Studio (copilotstudio.microsoft.com), select **Create → New agent**, then configure:

AGENT NAME	Finance & Budget Copilot
DESCRIPTION	Cost centre owners and finance partners review budget, actuals, variances, and submit variance explanations in conversation.
SOLUTION / ENVIRONMENT	Finance Solution · Default environment
ICON	Use a recognisable colour and emoji or upload a brand icon

2 Choose Orchestration Mode

Under **Settings → Generative AI**, use **Generative Orchestration** (AI-led) so the agent can blend knowledge lookups with tool calls for budget and variance management.

3 Add Knowledge

Knowledge tab → Add knowledge → File → upload `Finance_Budget_Data.xlsx`. Contains:

- Cost centre details (code, department, category, owner)
- Financial data (budget, actual, variance amount and percentage)
- Status (On Track, Over Budget, Under Budget)
- Forecast (full-year projection and commentary)

You can layer additional sources later — SharePoint sites, Dataverse, public web, or Graph connectors.

Behavior: Instructions & Topic

Steps 4–5 — tell the agent how to behave, then give it a reusable conversation flow.

4 Add Agent Instructions

Overview → **Instructions** — paste exactly:

```
You are the Finance & Budget Copilot. You help two audiences:
1) Cost centre owners reviewing their own spend.
2) Finance business partners reviewing a portfolio.

Rules:
- Use the uploaded budget data as your single source of truth.
- For variance, calculate Actual − Budget and (Actual − Budget) / Budget.
- For variance explanations, call the 'Submit Variance Note' tool.
- Highlight Over Budget cost centres and largest absolute variances first.
- Never expose another cost centre's numbers to an owner who doesn't own it.
```

5 Add a Custom Topic

Topics → **Add a topic** → **Create from description:**

```
Topic name: Submit Variance Explanation
Description: Captures an explanation for an over-budget cost centre and logs it against the period for
month-end review.

Trigger phrases:
• Explain my variance on CC400
• I want to comment on the marketing variance
• Submit a variance note
• Log a reason for being over budget

Conversation steps:
→ Identify the cost centre and quarter
→ Show the current variance amount and percentage from knowledge
→ Ask for: driver, mitigation plan, one-time vs ongoing
→ Call the 'Submit Variance Note' tool with the collected inputs
→ Confirm submission and offer to notify the FP&A team in Teams
```

Build the Tool (Current Method)

Step 6 — updated for 2026, using current Copilot Studio tool-building.

6a Create the SharePoint List First

SharePoint site → **New** → **List** → **From Excel** → upload `VarianceNotes_SharePointList_Template.xlsx` → name it **Variance Notes**. The **Type** column already has an Excel dropdown (One-time/Ongoing) — after import, set its SharePoint column Type to **Choice** to match.

6b Build the Agent Flow

1. **Flows** → **New flow** → **Agent flow** (or describe the whole thing to the natural-language builder in one prompt).
2. Trigger inputs: **CostCentreCode**, **Quarter**, **Driver**, **MitigationPlan**, **Type**.
3. Action: **SharePoint — Create item** → list **Variance Notes** → map the fields.
4. Action: **Teams — Post your own adaptive card as the Flow bot to a channel** → the FP&A review channel → paste the contents of `VarianceNoteSubmitted_AdaptiveCard.json` into the Adaptive Card field, then replace each `{{Placeholder}}` with the matching field from Dynamic content.
5. **Respond to the agent** → output **RecordID** from the SharePoint item's ID. Confirm **Asynchronous response = Off**.
6. **Publish** the flow.

6c Attach It as a Tool

1. **Tools** → **Add a tool** → filter by **Flow** → select it → **Add and configure**.
2. **Name:** Submit Variance Note. **Description:** "Logs a structured variance explanation and notifies FP&A."
3. Under **Completion**, respond using the returned **RecordID**.
4. **Save.**

> **Original spec, for reference —** Tool: Submit Variance Note. Type: Power Automate flow → SharePoint list 'Variance Notes' + Teams adaptive card. Logs a structured variance explanation and notifies FP&A. Inputs: Cost centre code (string); Quarter (string); Driver (string); Mitigation plan (string); Type (One-time / Ongoing). Outcome: Returns a record ID and posts to the FP&A review channel.

Configure, Evaluate, Test, Publish

Steps 7–10 — lock down settings, prove quality, and ship it.

7 Configure Settings

Settings cog (top right) — four areas before real users touch the agent:

- **General** — confirm name, description, primary language
- **Generative AI** — orchestration mode, content moderation (start at Medium)
- **Authentication** — "Authenticate with Microsoft" so the agent runs as the signed-in user
- **Security** — review DLP policy, enabled channels, end-user authentication

8 Evaluate Your Agent

Analytics → **Evaluations** → **New evaluation** — "Finance & Budget Copilot — Baseline v1". Score every response on Groundedness, Relevance, Accuracy.

```
Input: Which of my cost centres are over budget?
Expect: Returns only cost centres owned by the authenticated user.

Input: Show total budget vs actual by department for Q2 FY26
Expect: Sums per department from the rows and calculates variance %.

Input: Submit a variance note for CC400 — driver was pulled-forward Q3 spend
Expect: Triggers Submit Variance Explanation topic and calls the tool.
```

9 Test in the Test Pane

For each query, open **Activity map** to see: which topic/tool/knowledge fired, the inputs collected and outputs returned, citations to source rows, and per-step latency.

10 Publish to a Channel

Publish (top right) → **Channels**: Microsoft Teams (needs admin approval), Microsoft 365 Copilot, custom web embed, or Slack/Facebook/Telephony. Admin approval will not land inside a short workshop — the Test pane is your real finish line on the day.

Try These Live

Sample queries to run once the agent is built — and what it replaces.

Variance Review

- Which cost centres are Over Budget, sorted by variance %?
- What is the largest favourable variance, and what's driving it?

Roll-ups

- Show total budget, actual, and variance by department.
- Compare full-year forecast vs current actual run-rate by department.

Governed Action

- Submit a variance note for CC400 explaining a Q3 pull-forward.
- Notify FP&A that CC900 has a new mitigation plan.

This agent replaces

- Email chains chasing variance explanations
- Re-cutting numbers for exec decks
- Spreadsheet pivots refreshed by hand

With

- Variance reviewed and logged in one conversation
- Numbers grounded in finance data with citations
- Structured notes flowing straight to FP&A

Tip for real-world use — configure row-level security on the knowledge file so each cost centre owner sees only their own rows. Require a manager approval step on amounts above a threshold.